Rim Forming	178	LF	$8.00	$1,424.00
Suspended 8" Floor Slab Over 20 ga B Decking w/ #4 Rebar Mat	1,180	SF	$26.25	$30,975.00
Garage Stemwalls	72	LF	$24.00	$1,728.00
Garage w/ #3 Rebar Mat @ 24" O/C	1,766	SF	$6.65	$11,743.90
Soft Cut Cutting of Garage Slab	1	LS	$600.00	$600.00
Hold Downs STHD 10	6	EA	$30.00	$180.00
Bolts for Strong Walls	4	EA	$250.00	$1,000.00
Concrete Pumping - Basement Footings	1	LS	$1,400.00	$1,400.00
Concrete Pumping - Basement Walls	1	LS	$1,800.00	$1,800.00
Concrete Pumping - Basement Slab	1	LS	$1,500.00	$1,500.00
Concrete Pumping - Main Slab	1	LS	$1,500.00	$1,500.00
Concrete Pumping - Suspended Slab	1	LS	$1,100.00	$1,100.00
Wash Out Pit	5	EA	$350.00	$1,750.00
Gradable Fill	1	LS	$650.00	$650.00
Skid Loader Rough Grading	6	HR	$110.00	$660.00
Backfill Plumbing	1	LS	$300.00	$300.00
			CONTRACT TOTAL:	**$198,333.01**

EXHIBIT A: SCHEDULE OF VALUES

Randy Frei Construction Estimate #19643 - Oak Valley Estates Lot 5

Description	Qty	Unit	Unit Cost	Total
Mobilization / Administration / Layout	1	LS	$4,000.00	$4,000.00
Footings 18x12	402	LF	$26.00	$10,452.00
Footings 30x12	293	LF	$34.37	$10,070.41
Interior Footings 18x12	57	LF	$22.00	$1,254.00
Interior Footings 30x12	94	LF	$29.00	$2,726.00
Spread Footing 24x24x12	3	EA	$123.00	$369.00
Spread Footing 30x30x12	2	EA	$167.00	$334.00
Spread Footing 36x36x12	4	EA	$210.00	$840.00
Spread Footing 42x42x12	6	EA	$270.00	$1,620.00
Spread Footing 48x48x12	2	EA	$330.00	$660.00
Spread Footing 60x60x12	9	EA	$490.00	$4,410.00
Spot Footing 36x36x12	2	EA	$330.00	$660.00
Spot Footing 42x42x12	1	EA	$415.00	$415.00
Spot Footing 48x48x12	1	EA	$500.00	$500.00
Spot Footing 60x60x12	2	EA	$700.00	$1,400.00
24" Stem Wall	406	LF	$34.00	$13,804.00
13' x 8" Foundation Wall	107	LF	$195.00	$20,865.00
10' x 8" Foundation Wall	236	LF	$135.00	$31,860.00
Corner Charge	31	EA	$35.00	$1,085.00
Wall Corner Charge	12	EA	$45.00	$540.00
Popouts	1	EA	$125.00	$125.00
4" Gravel Base - Basement Slab	2,181	SF	INCL	INCL
10 Mil Visqueen Taped & Sealed - Basement Slab	2,181	SF	INCL	INCL
Basement Floor Slab w/ #3 Rebar Mat @ 24" O/C	2,181	SF	$6.70	$14,612.70
4" Gravel Base - Main Floor Slab	2,600	SF	INCL	INCL
10 Mil Visqueen Taped & Sealed - Main Floor Slab	2,600	SF	INCL	INCL
Floor Slab w/ #3 Rebar Mat @ 24" O/C	2,600	SF	$6.70	$17,420.00

12.1 Independent Contractor: Subcontractor is an independent contractor and not an employee, agent, or partner of Contractor.

12.2 Assignment: Subcontractor shall not assign this Agreement or sublet any portion of the work without prior written consent of Contractor.

12.3 Governing Law: This Agreement shall be governed by the laws of the State of Utah.

12.4 Entire Agreement: This Agreement, including Exhibit A, constitutes the entire agreement between the parties and supersedes all prior negotiations, representations, or agreements.

CONTRACTOR: RAC Inc.	**SUBCONTRACTOR: Randy Frei Construction, Inc.**
_____	_____
Signature	Signature
_____	Randy A. Frei
Printed Name	Printed Name
_____	02/09/26
Date	Date

ARTICLE 7: INSURANCE & INDEMNIFICATION

7.1 Insurance: Subcontractor shall maintain at minimum: General Liability ($1,000,000 per occurrence / $2,000,000 aggregate), Workers Compensation (statutory limits), and Automobile Liability ($1,000,000 combined single limit). Subcontractor shall provide Certificate of Insurance naming RAC Inc. as additional insured prior to commencing work.

7.2 Indemnification: Subcontractor shall indemnify, defend, and hold harmless Contractor and Owner from and against all claims, damages, losses, and expenses arising out of or resulting from Subcontractor's performance of work under this Agreement.

ARTICLE 8: CHANGES IN WORK

8.1 Change Orders: No changes to the scope of work shall be made except by written Change Order signed by both Contractor and Subcontractor. Change Orders shall include a detailed description of the change, the effect on the contract price, and the effect on the schedule.

8.2 Estimate Validity: Unit prices in Exhibit A are valid for 45 days from the date of Estimate #19643 (12/15/2025). Quantities are subject to field verification.

ARTICLE 9: WARRANTY

9.1 Warranty: Subcontractor warrants all work performed under this Agreement for a period of one (1) year from the date of substantial completion of the Project. Subcontractor shall promptly correct any defective work at no additional cost to Contractor or Owner.

ARTICLE 10: TERMINATION

10.1 Termination for Cause: Contractor may terminate this Agreement if Subcontractor fails to perform the work in accordance with the contract documents, fails to maintain adequate progress, or becomes insolvent. Contractor shall provide seven (7) days written notice prior to termination.

10.2 Termination for Convenience: Contractor may terminate this Agreement for convenience upon seven (7) days written notice. Subcontractor shall be paid for all work completed through the date of termination.

ARTICLE 11: DISPUTE RESOLUTION

11.1 Disputes: Any dispute arising under this Agreement shall first be subject to good faith negotiation between the parties. If unresolved within thirty (30) days, the dispute shall be submitted to mediation. If mediation is unsuccessful, disputes shall be resolved in the courts of Washington County, Utah. Customer agrees to pay attorney's fees and other costs incurred in collections.

ARTICLE 12: GENERAL PROVISIONS

3.4 Rock / Undiggable Conditions: If rock or undiggable conditions are encountered, additional costs will be incurred. Subcontractor shall notify Contractor immediately and provide written cost estimate prior to proceeding. Work shall not commence on affected areas until Contractor provides written authorization.

ARTICLE 4: PAYMENT TERMS

4.1 Progress Payments: Contractor shall make monthly progress payments to Subcontractor based on work completed per the Schedule of Values (Exhibit A). No retainage shall be withheld from progress payments.

4.2 Late Payments: A finance charge of 2% per month (minimum of one dollar), an annual percentage rate of 24%, will be charged on all past due accounts. Accounts are due and payable 30 days from the invoice date.

4.3 Invoice Requirements: Subcontractor shall submit invoices referencing the Schedule of Values (Exhibit A) with percentage of completion for each line item.

ARTICLE 5: TIME FOR PERFORMANCE

5.1 Commencement: Work shall commence upon written notice from Contractor.

5.2 Completion: Subcontractor shall complete work within the timeframe necessary for Contractor to meet its obligations to Owner. Subcontractor acknowledges it is subject to any liquidated damages provisions in the Owner contract resulting from Subcontractor-caused delays.

ARTICLE 6: RESPONSIBILITIES

6.1 General Obligations: Subcontractor assumes all responsibilities and obligations that Contractor has undertaken for Owner concerning the subcontract work. All work shall be performed in a substantial workmanlike manner per drawings and specifications.

6.2 Site Cleanup: Subcontractor shall maintain a clean worksite by removing all refuse and debris upon completing each unit of work. All excess materials, tools, and structures brought to the premises must be promptly removed. If Subcontractor fails to do so after reasonable notice, Contractor may undertake cleanup at Subcontractor's expense.

6.3 Quality Standards: All work shall be performed to the full satisfaction of both Contractor and Owner. If Contractor determines Subcontractor is not progressing satisfactorily, Contractor reserves the right, after reasonable notice, to assume control of the subcontract work.

6.4 Safety: Subcontractor shall comply with all applicable safety regulations including OSHA standards. Subcontractor is solely responsible for the safety of its employees, agents, and subcontractors.

6.5 Permits & Inspections: Subcontractor shall be responsible for scheduling all required concrete inspections. Contractor shall obtain the building permit. Subcontractor shall comply with all applicable codes, ordinances, and regulations.

SUBCONTRACT AGREEMENT
Concrete Foundation & Flatwork

This Subcontract Agreement ("Agreement") is entered into as of _____, 2026, by and between:

Contractor: RAC Inc., 1267 N 1390 W, St. George, UT 84770, License UT 5972780-5501

Subcontractor: Randy Frei Construction, Inc., 1028 North West Ridge Drive #A, St. George, UT 84770

ARTICLE 1: PROJECT

1.1 Project: Rodriguez Residence, Oak Valley Estates Lot 5, Liberty Lane, Kanarraville, UT 84742

1.2 Owner: ARJR Kanarraville Holdings, LLC

1.3 Reference Documents: Structural Plans, Architectural Plans, and Randy Frei Construction Estimate #19643, dated 12/15/2025.

ARTICLE 2: SCOPE OF WORK

2.1 Work Included: Subcontractor shall furnish all labor, materials, equipment, and supervision necessary to perform the concrete foundation and flatwork scope as detailed in the Schedule of Values (Exhibit A), including but not limited to: footings (perimeter, interior, spread, and spot), foundation walls (10' and 13' x 8"), stem walls, basement slab, main floor slab, suspended floor slab over B-decking, garage slab and stemwalls, concrete pumping, hold downs, strong wall bolts, form work, rebar installation, soft cut cutting, rough grading, washout pits, gradable fill, backfill plumbing, and rim forming. All interior slabs (basement and main floor) shall include 4-inch gravel base and 10 mil visqueen vapor barrier, taped and sealed, installed prior to rebar and concrete placement. All work shall conform to structural plans and specifications.

2.2 Contract Price: The total contract price is One Hundred Ninety-Eight Thousand Three Hundred Thirty-Three Dollars and One Cent ($198,333.01), which is all-inclusive of labor, materials, equipment, and supplies as detailed in Exhibit A.

ARTICLE 3: CONTRACTOR-PROVIDED ITEMS & EXCLUSIONS

3.1 Contractor to Provide: Compacted pad for footings and slab to (+/- 4") sub-grading to accommodate gravel base. House corners to be provided by Contractor.

3.2 By Others: HDA-2 hold downs supplied and installed by framer. HTT5 hardware provided and installed by others.

3.3 Over-Excavation: Over-excavation of footings, if needed, shall be at additional cost and requires written approval from Contractor prior to proceeding.